

If Sarah started investing at 25 with even as little as \$300 a month, assuming an annual rate of return of 8 per cent, by the time she was 65 she'd have \$460 000.

However, if Sarah decided she didn't want to invest until later on, waited until she was 35 and invested \$300 a month until 65 with the same rate of return, she would only have \$251 000 — almost half of what she could have ended up with, had she started 10 years earlier.

If Sarah decided that she was going to invest once she had a higher salary and began when she was 40, putting in \$600 per month — double what her 25-year-old self could afford — you'd assume that she would be able to catch up to 25-year-old Sarah's portfolio.

Surprisingly, 40-year-old Sarah would only end up with \$359 000 at 65. That's almost a \$100 000 difference, despite investing double the monthly amount, and it highlights the importance of time in the market over investing with larger sums of money later in life. See [table 1.1](#) (overleaf) for a summary of these numbers.

Table 1.1: Sarah's potential investment journeys

Age when starting to invest	Monthly investment	Total \$ invested	Annual rate of return	Total at 65
25	\$300	\$114 000	8	\$460 000
35	\$300	\$108 000	8	\$251 000
40	\$600	\$180 000	8	\$359 000

I do want to stress that this shouldn't discourage investors in training from beginning if they are starting off later in life. Not all of us had the privilege of receiving financial literacy at 20. Remember that not too long ago women couldn't get a credit card on our own — and for many of us, our parents weren't in the position to be passing down this knowledge. However, as the saying goes, the best time to plant a tree was 20 years ago, but the second best time is now. Whenever we have the opportunity, it's time to take action to invest towards our future.